posit, involve taking out loans against the policy to make future premiums. These reduce the amount of death benefits available.

It's important to note that in most plans the cash accumulation really belongs to the insurance company. If the insured dies, his family receives only the face value of the policy, not its value plus the cash accumulated. If the cash is borrowed prior to death, interest must be paid to the insurance company. If it is not repaid prior to the death of the insured, the outstanding loan is deducted from the proceeds. However, if the policy pays dividends, the dividends do revert to the owner or beneficiaries.

So much misinformation has been presented about life insurance that it is difficult to separate fact from fiction. The certainty is, no one plan fits everyone. You must decide to buy what you need at a price you can afford. For most young couples, term insurance fills their need for after-death provision and better fits their budget.

Term insurance means insurance that is sold for a determinable number of years. Most term policies do not accumulate any cash reserves and are literally insurance only. There are two basic types of term insurance: decreasing term and level term. In decreasing term, the cost (payments) stays constant, but the face value or face benefit decreases as prescribed (i. e., annually, 5 years, 10 years, et cetera). In level term, the cost increases for the period selected while the face value stays the same. Simply stated:

Decreasing term = consistent cost and decreasing payout

Level term = increasing cost and constant payout

Decreasing term can usually be selected for periods of 1 to 20 years.

Which insurance is best for a young family's needs? I believe level term is better because the need for insurance in a family does not decrease at a predictable rate as the decreasing term policy does.

For example, assume that a 25-year-old father of 2 young children bought a $100,000 decreasing term policy. In 10 years